

to an overall impact on business, with consumer, manufacturing, life sciences, and healthcare verticals affected the most. Meanwhile, it also deferred salary hikes for employees for the current year, citing the growing macroeconomic uncertainty, intensified by the ongoing tariff war between the US and other countries.

Pranay Aggarwal, Director and CEO of online trading platform Stoxkart says, "While the company has delayed salary hikes, I see this more as a strategic decision than a sign of financial strain." At a post-earnings press conference, TCS executive said that the hikes will be implemented later in the financial year, once there is greater clarity and the outlook improves.

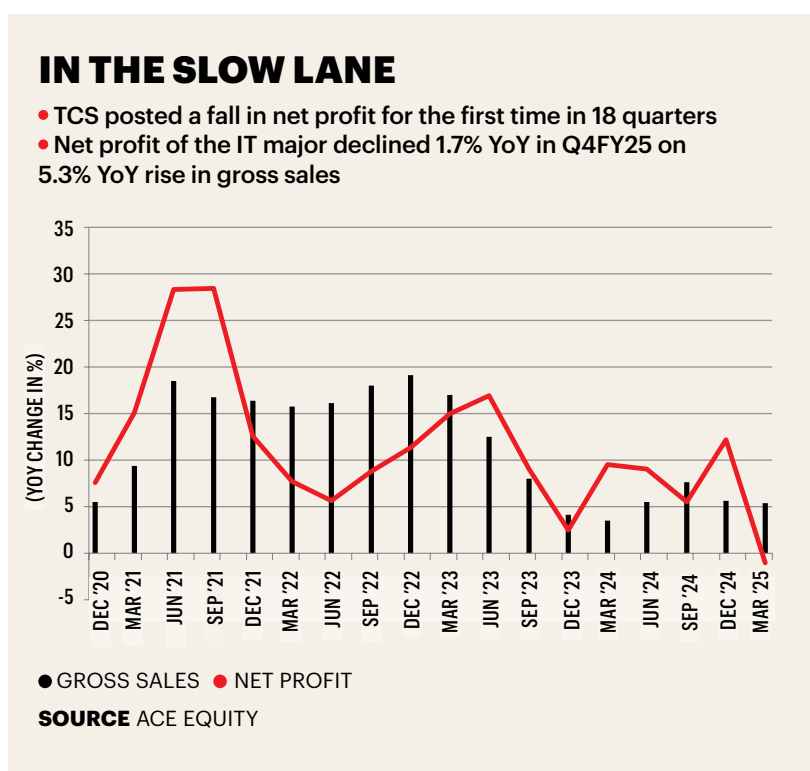
India's second largest IT company, Infosys also posted subdued quarterly numbers.

The Bengaluru-headquartered company posted an 11.75% fall in net profit at ₹7,033 crore for the quarter ended March 2025, marking its steepest YoY fall since December 2018. On the other hand, gross sales increased by 7.91% YoY to ₹40,925 crore.

Meanwhile, another tech major HCL Technologies reported an 8% YoY growth in its consolidated net profit to ₹4,307 crore in Q4FY25. Gross sales increased 6% YoY to ₹30,246 crore. Wipro also posted a near 26% YoY jump in Q4 net profit to ₹3,570 crore. Gross sales increased 1.33% YoY to ₹22,504 crore.

"Wipro posted soft Q4FY25 results. The company's weak Q1FY26 guidance of -1.5% to -3.5%, driven by elevated levels of macro uncertainty due to tariffs, makes it difficult for it to report positive growth in FY26. We are trimming FY26 and FY27 EPS (earnings per share) by -3% and -3.7%," Nuvama Institutional Equities said.

For the year 2024-25, TCS posted a 5.99% and 5.76% YoY increase in gross sales and net profit, the slowest in four years. Consolidated gross sales of Infosys increased by



6% YoY, and net profit inched higher by 1.83% YoY. Meanwhile, Infosys issued conservative revenue growth guidance for the financial year 2025-26, anticipating a 0% to 3% growth. This projection falls short of brokerage Nirmal Bang Institutional Equities' expectations, which ranged from 3% to 5% growth in constant currency terms.

So, what do these numbers mean for the IT sector amid US President Trump's imposition of trade tariff? Sumit Pokharna, VP-Fundamental Research-IT of brokerage company Kotak Securities says, "Clients under distress will look to pass on the pain to vendors, leading to an impact on IT service players in terms of demand or pricing".

"The current uncertainty is temporary; hence we would like to monitor how the macros play out,"

SMIFS Limited said in a report.

JM Financial believes that Infosys' guidance has put a floor to FY26's expectations for the entire sector, which thankfully, is not very low. Moreover, the management's comment of lower third-party revenues in FY26 points to lesser mega deals.

Amid the ongoing uncertainty, foreign institutional investors have also offloaded shares of IT companies worth ₹1.30 lakh crore during January 1, 2025 to March 31, 2025. The Nifty IT

index, on the other hand, has also plunged 22% on a year-to-date basis till April 22 against 2% rise witnessed by the Nifty 50 index. Further, IT services stocks as a share of the overall Indian assets under custody held by FIIs dipped from 10.24% on December 31, 2024 to 9% on March 31, 2025. **BT**

@iamrahuloberoi